

Underwriting Assumptions

Reference Guide

01 Product Type Decision Matrix

Density	Recommended Product	Building Type	Parking	Model
7 u/a	BTR — Active Adult Cottages	Detached SFR	—	BTR MODEL
8 u/a	BTR — Conventional (SFR or TH)	Detached SFR or Townhome	—	BTR MODEL
9 u/a	BTR — Townhomes	Attached Townhome	—	BTR MODEL
25 u/a	Conventional or AA Garden	3-Story Walk-Up (AA: enclosed corridors + added cost)	—	CONV / AA
25 u/a	3-Story Attainable	3-Story Walk-Up	—	CONV / AA
35 u/a	Conventional or AA Mid-Rise	4-Story Surface-Parked	—	CONV / AA
55 u/a	4-Story Wrap	Deck Parking	—	—
85 u/a	5-Story Wrap	Deck Parking	—	—
Mixed	Blended Product	Phase by zone	—	MULTI

02 Density & Unit Mix

CONVENTIONAL MULTIFAMILY

Building Type	Density	Unit	Mix %	Avg SF	Parking
3-STORY WALK-UP					
—	25 u/a	1BR / 1BA	60%	800 SF	1.4 / unit

—	4BR / 3.5BA · \$107 psf vertical	8 u/a	35%	1,996 SF	2-car	36'
—	3BR / 3.5BA · \$120 psf vertical	8 u/a	65%	1,659 SF	2-car	36'
BTR SFR DETACHED						
—	3BR / 2BA · \$191 psf vertical	8 u/a	30%	2,000 SF	2-car	40'
—	4BR / 3.5BA · \$95 psf vertical	8 u/a	70%	2,600 SF	2-car	40'

ACTIVE ADULT COTTAGES — DETACHED

Product	Unit Type	Density	Mix %	Avg SF	Garage	Lot W
AA COTTAGES — DETACHED						
—	1BR / 1.5BA	6 u/a	30%	1,000 SF	2-car	40'
—	2BR / 2BA	6 u/a	70%	1,400 SF	2-car	40'

04 Acquisitions Model

MODEL INPUTS

T-12 Rent Roll	Provided by deal team — upload to model inputs tab
T-12 Operating Statement	Provided by deal team — normalize for non-recurring items
In-Place vs. Market Rent Delta	Analyst / Yardi data — pull market comps and calculate loss-to-lease
CapEx / Value-Add Budget	Provided by deal team or estimated per unit from deal memo
Exit Cap Rate	Analyst default: [TBD] — confirm with deal team; reference CBRE Cap Rate Survey (major SE markets)
Hold Period	Analyst default: 5 years — confirm with deal team

ANNUAL GROWTH RATE ASSUMPTIONS

RENT GROWTH 3.00% per year	OTHER INCOME 3.00% per year	EXPENSE GROWTH 2.75% per year
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RENTAL LOSSES – VACANCY, LTL, CONCESSIONS, BAD DEBT

STABILIZED VACANCY 5.00% Stabilized occupancy assumption	LOSS-TO-LEASE Calc. Avg in-place vs. underwritten market rent	CONCESSIONS Mkt. Based on stabilized market comp offerings	BAD DEBT 50 bps Of gross potential rent
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CAPEX BUDGETS BY PRODUCT TYPE

BTR TH & BTR SFR Build-to-Rent Townhome / SFR Detached \$50,000 per unit	AA 3-Story & AA 4-Story Active Adult Garden / Mid-Rise \$30,000 per unit	4-Story Surface-Parked Conventional Mid-Rise \$30,000 per unit
3-Story Walk-Up Conventional Garden \$25,000 per unit	3-Story Attainable Attainable / Workforce Garden \$10,000 per unit	Confirm all budgets with deal team